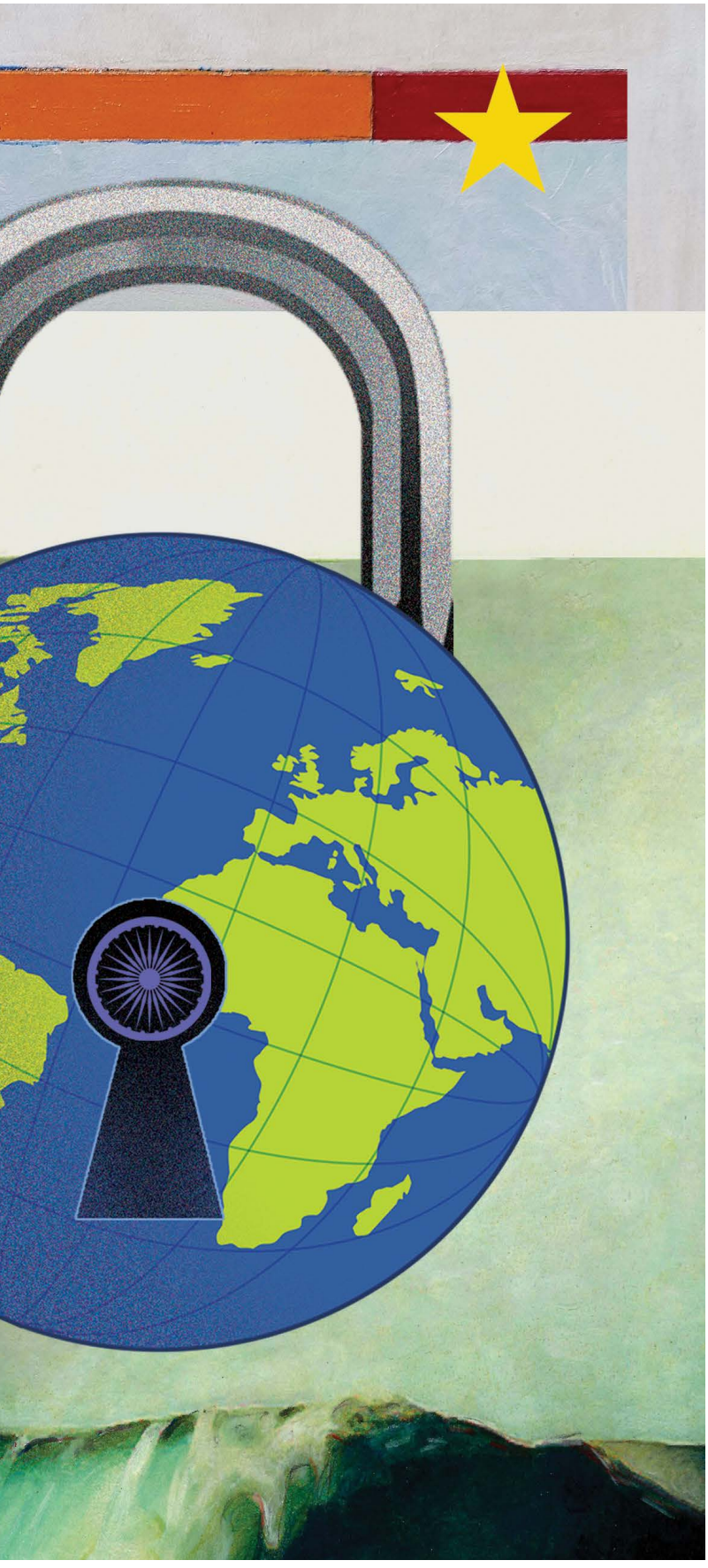


In this era of trade and economic uncertainty, there is an additional advantage as trade in deep FTAs is also observed to be relatively more robust during a crisis.

Furthermore, as the already evident tendency of trade in North America getting redefined on discriminatory lines intensifies under Trump 2.0 and as the European Union (EU) secures trade and regional value chains within, with the implementation of the Carbon Border Adjustment Mechanism (CBAM), India needs to prioritise its participation in mega-regional trade agreements. For instance, the Regional Comprehensive Economic Partnership (RCEP) and the Comprehensive and Progressive Trans Pacific Partnership (CPTPP), which are the only mega-regional trade agreements that continue to be open, non-discriminatory and in conformity with the multilateral rules-based trade order. The CPTPP is a high-standard, ambitious and forward-looking trade agreement. With an increasing membership, a long queue of applicants, continued trade and economic dynamism among member economies, it has substantial potential for trade expansion. India, therefore, must apply for membership and initiate preparatory steps towards accession to the CPTPP at the earliest.

Working towards an early conclusion of the FTA with the EU and UK, which is also now a CPTPP member, will be a step in this direction. The EU has been in the lead in adopting high standards, especially in the realm of environment and labour provisions in its FTAs. For India, insulating domestic producers, especially large industries, from competition should not be the guiding principle in its negotiations with the EU. In respect of CBAM as well as sectors of concern, appropriate product-specific flexibilities, safeguard measures and extended transition time should be carefully negotiated.

Finally, having seen its most challenging times under Trump 1.0, global trade governance under the World Trade Organization is likely to see further decline this time. It is imperative, therefore, for India to develop an understanding of the alternative architectures of "variable geometry" in global trade rules being proposed internationally and adopt a more positive perspective toward participation in plurilateral initiatives on trade and investment issues. ■

Amita Batra *is professor of Economics, School of International Studies, JNU; Senior Fellow, CSEP; and author of* India's Trade Policy in the 21st Century. *Views are personal*